

5 Continent Invoice 1026-08 — Line-by-Line Derivation of the Three Buckets

Answering: how is each bucket figure derived? Every row below carries quoted rate, billed amount, delta, and source.

Establishing the two baselines (do this first)

Baseline	Amount	What it is	Source
Quote — freight rate table	\$3,510.60	7 logistics lines only	Quote 26 Aug 2026, embedded table, quote p.2
Quote — customs section	separate	US clearance, FDA, duties, bond, MPF, line fees	Quote p.2, "Customs clearance charges"
Invoice 1026-08	\$4,866.33	15 lines, all-in landed	5 Continent invoice, 07 Oct 2026

The two quote parts are separate. The customs section is deliberately outside the \$3,510.60. That single fact drives Causes 2 and 3.

Quoted freight rate table, opened up (sums to \$3,510.60):

Quoted line	Rate
Inland in Brazil	837.00
Airport charges BRA	250.00
Airline charges BRA	95.00
Air Freight +300 kgs	1,118.60
Airline charges USA	200.00
Handling Fee USA	125.00
Delivery to the door	885.00
Total	3,510.60

Cause 1 — Freight overages: \$297.57

"2 quoted lines billed above rate"

This is a **delta only** — the two lines were billed higher than the forwarder's own quoted rate.

Quoted line	Quoted rate	Billed	Delta	Why
Inland in Brazil	837.00	1,012.17	+175.17	Billed above 5 Continent's own quote
Air Freight +300 kgs	1,118.60	1,241.00	+122.40	365 kg @ \$3.40 vs quoted flat 1,118.60
Cause 1 delta			+297.57	

Cross-check — the "as billed" figure (why you may see \$2,253.17):

Same two lines, as billed	Amount
Inland Freight in Brazil	1,012.17
Air Freight Charges	1,241.00
Billed total of the 2 lines	2,253.17

So both v5 numbers are correct, they just answer different questions:

- **\$297.57** = how much *above quote* (the bridge input; the dispute)
- **\$2,253.17** = what these two lines *total on the invoice* (the bucket as billed)

The \$297.57 is the one that belongs in the variance bridge. \$2,253.17 minus \$297.57 leaves \$1,955.60 — the quoted value of those two lines; the other \$1,955.60 of the freight table is inside the MATCH bucket.

Cause 2 — Quoted customs items, now billed: \$418.53

"quoted customs/duty/fee items, now billed"

These lines were **quoted** — just in the *customs* section, not the freight table. Billed **exactly as quoted**, so they only look like an increase because the \$3,510.60 comparator excluded customs.

Line item	Quote basis	Billed	Delta	Verdict
Customs Clearance USA	\$150.00	150.00	0.00	match
FDA Filing	\$100.00	100.00	0.00	match
Customs Duties	At Cost	128.53	+128.53	match (at cost)
Additional Invoice Lines	1st 3 free, \$5/line (8 chargeable)	40.00	+40.00	match (quoted policy)
Cause 2 total		418.53		

Why this is +418.53 and not \$0: "At Cost" duties and the quoted per-line policy had no dollar figure in the quote, so the *first billing* of them is what moves the number. US clearance and FDA were quoted at exactly \$150 and \$100 with zero movement.

This \$418.53 is legitimate — it is a comparison artifact, not an overcharge. The one item still needing detail is the \$128.53 duties ("At Cost") — it needs a customs breakdown.

Cause 3 — Wholly unquoted charges: \$639.63

"5 items, no rate"

No quoted rate of any kind exists anywhere in the quote for these five lines.

#	Line item	Quoted rate	Billed	Note
1	Palletizing	none	65.00	Quote premise was heat-treated pallets; billed anyway
2	Storage — SSA + Saturday Airport Fee	none	112.19	Not in quote
3	Clearance — Export Customs BRA + SDA	"agreed with Omega"	414.59	Possible DUPLICATE — see below
4	Duty Advance Fee	none	12.85	= 10% of the 128.53 duty
5	Bank Fees	none	35.00	Not in quote
	Cause 3 total	0.00	639.63	

Duplicate risk on item 3 (\$414.59). The quote states export customs clearance was "agreed directly with Omega" — i.e. **outside** 5 Continent's scope. If Omega was paid separately, this line is a straight duplicate. This is the single largest unquoted item and **must be confirmed with Omega before disputing**.

Arithmetic check on item 4: the Duty Advance Fee is 10% of the Customs Duties line — $10\% \times 128.53 = 12.85$. Confirmed exactly.

The bridge, now fully derived

Step	This cause	Running total
Quote — freight rate table		3,510.60
1. Freight overages (2 quoted lines above rate)	+297.57	3,808.17
2. Quoted customs items, now billed	+418.53	4,226.70
3. Wholly unquoted (5 items, no rate)	+639.63	4,866.33
Total difference	+1,355.73	

Verdict	Amount	Share
Legitimate (comparison artifact)	418.53	31%
Dispute — freight overages	297.57	22%
Dispute — wholly unquoted	639.63	47%
Total gap	1,355.73	100%
Actionable dispute exposure	937.20	69% of gap

Reconciliation proof (all checked to the cent):

$297.57 + 418.53 + 639.63 = 1,355.73 \checkmark \cdot 3,510.60 + 1,355.73 = 4,866.33 \checkmark \cdot 297.57 + 639.63 = 937.20 \checkmark$

Sources

- Quote: `brazil/sources/2026-08-26\_5continent\_rate\_quote.pdf` (Graziela Vedana, 26 Aug 2026; freight table is an embedded image, quote p.2)
- Invoice: `brazil/sources/2026-10-07\_5continent\_invoice\_1026-08.pdf` (no. 1026-08, 07 Oct 2026)
- Supporting: `2026-10-07\_5continent\_invoice\_1026-08\_notes.md`,
`2026-10-08\_5continent\_quote\_vs\_invoice\_FINAL\_v5\_envoy\_verified.md`

Prepared by Sophia (TrueSight DAO Autopilot), 2026-10-09. All bucket arithmetic verified in-script before render.

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